Dedollarisation in Asia Will Build From the Bottom Up

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Summary. The US dollar still dominates Asian trade and finance. Yet a shift in its international role has begun at the base of the system. In this note, bottom-up describes the order of change, not who drives it. Payments and local currency settlement are moving first, largely led by central banks. Trade invoicing will follow slowly. Reserves and funding will move last. Over the next 10 to 15 years, this points to deeper local currency markets and a larger regional role for currencies in active settlement corridors. It does not point to the end of the dollar.

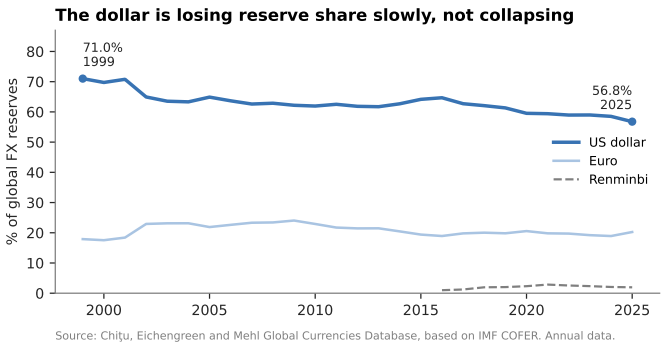
The dollar is losing share, not power

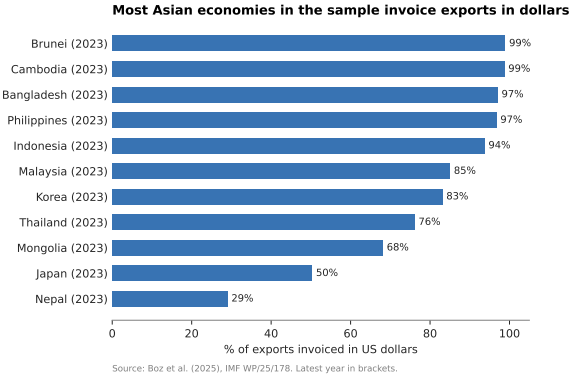
The dollar is slowly losing ground as a reserve currency, but it remains firmly in charge. Its share of global foreign exchange reserves fell from 71% in 1999 to 56.7% in the second quarter of 2026.[1] The euro has gained little over this period. Most of the lost share has gone to smaller currencies such as the Australian and Canadian dollars. The renminbi accounts for about a quarter of the shift but still holds only around 2% of reserves. In markets, the dollar was on one side of 89% of all foreign exchange trades in April 2025, up from 88% in 2022. Economists disagree on what the reserve decline means. One view sees active diversification by many reserve managers. Another finds that a small group of large holders explains most of it. Either way, the shift has taken a quarter of a century, and no single currency is ready to take the dollar's place.

Trade still runs on dollars, but the edges are moving

Asian trade is even more tied to the dollar than global reserves are. Among the economies in the latest IMF data, Indonesia and the Philippines invoice more than 90% of their exports in dollars. Malaysia sits at 85% and Thailand at 76%. Japan invoices around half in dollars. Nepal, whose currency is pegged to the Indian rupee, invoices less than a third. The data has no recent figures for China, India, Singapore or Vietnam, so the chart reflects the region's smaller economies. Two forces explain the pattern. Commodities such as oil, gas and coal are priced in dollars worldwide, which lifts shares in exporters like Brunei and Indonesia. Supply chains explain much of the rest. Many Asian goods are finally sold in the United States, so the dollar is used all along the chain.

There are early signs of change at the edges, and policy drives most of them. China settles around half of its exports in renminbi. Yet IMF estimates imply that only about 6.5% of China's exports are actually invoiced in renminbi. Settlement is moving far faster than pricing. In Southeast Asia, local currency frameworks link Malaysia, Indonesia and Thailand, and Singapore joined in August 2026. Appointed banks quote direct exchange rates between these currencies, so trades can skip the dollar conversion. Evidence from Thai exporters shows these frameworks have moderately reduced reliance on the dollar. Across the global sample, however, invoicing shares have barely moved. Local currency use grows where policy builds the plumbing for it, and it grows slowly.



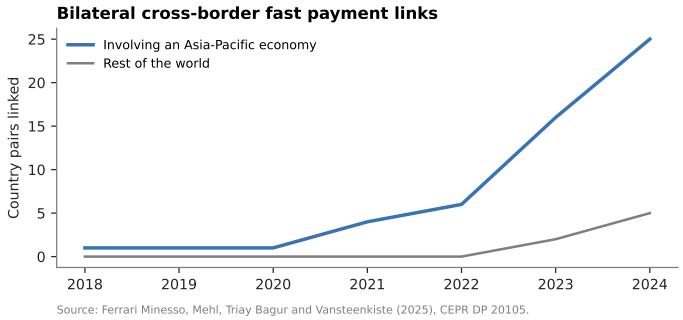


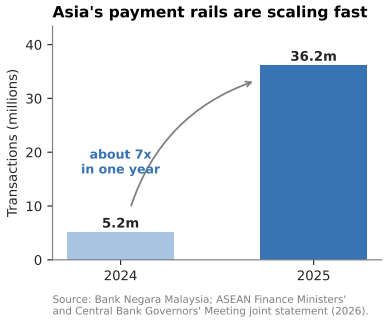
Payments are where Asia leads

Asia leads the world in directly linking separate national payment systems. Several ASEAN QR systems are now connected, including Malaysia's DuitNow, Indonesia's QRIS, Thailand's PromptPay and Singapore's PayNow. Cross-border QR payments rose from about 5.2 million transactions in 2024 to 36.2 million in 2025, worth US$716.4 million. By 2024, around 25 country pairs worldwide had direct bilateral fast payment links involving an Asia-Pacific economy, against about 5 elsewhere. This comparison needs care. The euro area shares one currency

[1] The 1999 figure is from the Global Currencies Database. The 2026 figure is from the IMF's revised COFER series.

and regional platforms, so it needs few bilateral links. A link that exists is also not the same as a link that carries volume. Customers pay in local currencies at both ends, but banks may still convert through the dollar where direct markets are thin. Even the renminbi trades almost entirely against the dollar. The direct quotes required under the local currency frameworks are what make these payments genuinely dollar-free. Project Nexus is the next step. It will connect national instant payment systems through a single hub, with first live transactions expected in 2027.





What holds the dollar in place

Faster payment rails alone will not displace the dollar. The US$716 million in cross-border QR payments in 2025 is a tiny fraction of the region's trade, which runs into the trillions of dollars each year. Four anchors keep the dollar central. Many Asian firms carry dollar debts and prefer to earn in dollars to match. Dollar credit to borrowers outside the United States reached US$13.7 trillion in early 2025. Local currency hedging markets remain thin and costly outside the largest economies. Final demand for many Asian goods still sits in the United States. Above all, US Treasury markets offer reserve managers a depth and safety that no Asian market can yet match. These anchors explain the order of the shift. Payments can move first since they need no change in debt, demand or reserve assets. Reserves depend on all four anchors, so they will move last. Central bank gold buying is the main challenge to this view. Central banks bought more than 1,000 tonnes a year from 2022 to 2024 and 863 tonnes in 2025, partly in response to sanctions risk. Yet gold moves reserves away from all currencies, not toward Asian ones.

Market implications and what would change this view

If this view is right, the effects on markets will build slowly. Local currency bond markets should deepen as more trade and investment settles within the region, provided domestic investors and hedging markets grow alongside. Currencies in active settlement corridors, such as the ringgit, baht and rupiah, should trade more directly against each other. Lower exposure to global dollar funding conditions is a longer-run prospect. It depends on progress in funding markets, not payments. Three developments would show the shift gathering pace. These are Project Nexus going live on schedule in 2027, rising settlement volumes under the local currency frameworks, and China's settlement shift appearing in invoicing data. Two developments would change this view. The first is dollar stablecoins taking a large share of Asian cross-border payments. The IMF warns they can drive currency substitution, which would spread the dollar through the very layer this note expects to move first. The second is invoicing shares staying flat even as payment links multiply, which would show the payments layer is not feeding through.

Sources. IMF, COFER Data Brief (30 September 2026). Chiţu, Eichengreen and Mehl Global Currencies Database (accessed November 2026). Arslanalp, Eichengreen and Simpson-Bell (2022), IMF WP/22/58. Goldberg and Hannaoui (2024), FRBNY Staff Report 1087. BIS, Triennial Central Bank Survey (September 2025). Boz, Brüggen, Casas, Georgiadis, Gopinath and Mehl (2025), IMF WP/25/178. Chaeng-lum, Nookhwun and Pattararangrong, PIER Discussion Paper 250. Bank Indonesia and MAS (31 August 2026). AMRO, regional payment connectivity across ASEAN+3. Joint Statement of the 13th ASEAN Finance Ministers' and Central Bank Governors' Meeting (April 2026). Ferrari Minesso, Mehl, Triay Bagur and Vansteenkiste (2025), CEPR DP 20105. Bank Negara Malaysia. BIS, Global Liquidity Indicators (July 2025). World Gold Council, Gold Demand Trends Full Year 2025. IMF, Understanding Stablecoins, Departmental Paper 25/09 (December 2025).

This note was prepared as a writing sample. The views expressed are the author's own.